

TOKENIZATION SYSTEMS

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April 14, 2026

Office of the Comptroller of the Currency
400 7th Street, SW, Suite 1E-216
Washington, DC 20219
Attn: Chief Counsel's Office

Submitted via regulations.gov, Docket OCC-2025-0372

Re: Supplemental Comment on RIN 1557-AF41, Docket OCC-2025-0372-0001,
Implementing the GENIUS Act for Stablecoin Issuance by Entities Subject to OCC
Jurisdiction

Dear Office of Chief Counsel:

I write to supplement the comment letter I submitted to this docket on April 10, 2026. Today, on April 13, the Securities and Exchange Commission's Division of Trading and Markets issued a staff statement describing conditions under which certain user interface providers may facilitate crypto asset securities transactions without registering as broker-dealers. The statement intersects with the OCC's proposed rule in ways that warrant consideration before the final rule is adopted.

The SEC statement does not address payment stablecoins. It expressly excludes them: a Covered User Interface Provider that "holds, has access to, handles, manages, or possesses" user stablecoins falls outside the statement's scope. There is no direct conflict between the SEC statement and the OCC's proposed rule. The SEC statement articulates an interface-layer interpretive position for crypto asset securities, a comparatively narrow segment of the tokenized asset market. It has no counterpart for payment stablecoins, which are the dominant segment by transaction volume, holder count, and market capitalization. That asymmetry is the subject of this supplemental comment.

I. What the SEC Statement Does

The SEC statement identifies a category of entity, the Covered User Interface Provider, that is operationally involved in preparing transactions in crypto asset securities but that, by meeting twelve specific conditions, is not treated as a broker-dealer under Section 15(a) of the Exchange Act.

The twelve conditions fall into three functional groups. Discretion constraints prohibit the provider from soliciting specific transactions, characterizing any execution pathway as offering the "best price" or as being the "most reliable," or exercising any control or discretion over market information or securities transactions. Objectivity requirements require that default parameters, trading venue selection, execution routing, and the

software preparing trading instructions all operate on pre-disclosed and objective parameters that are independently verifiable. Compensation must be based on objective factors, applied consistently, and “product, execution route, execution venue, and counterparty agnostic.” Disclosure obligations require the provider to disclose nine categories of material facts, including non-registration status, fee calculation and structure, material conflicts of interest, cybersecurity controls, policies (if any) to protect against maximal extractable value strategies, and the parameters the interface’s software uses to prepare trading instructions.

The statement is equally explicit about what disqualifies a provider from this treatment. A provider that negotiates transaction terms, solicits specific transactions, makes investment recommendations, arranges financing, processes trade documentation, conducts asset valuations, executes or settles transactions, or takes or routes orders does not qualify. A provider that holds, has access to, handles, manages, or possesses user funds, securities, or stablecoins also does not qualify. The stablecoin exclusion is explicit and categorical: handling stablecoins in any of these ways places a provider outside the statement entirely.

The statement is interpretive guidance, not a rule. The statement expressly provides that “this statement, like all staff statements, has no legal force or effect: it does not alter or amend applicable law, and it creates no new or additional obligations for any person.” It will be considered withdrawn five years from April 13, 2026, absent intervening Commission action.

II. The Structural Parallel to the Proposed Rule

The twelve conditions all point in the same direction. Taken together, they distinguish an entity that controls the transaction flow from an entity that merely facilitates it. The statement does not use “control layer” as a defined regulatory category, but it operationalizes the distinction I described in prior published work on the control layer in tokenized financial markets.¹ The provider must not exercise control or discretion over market information or securities transactions, must not use parameters that are not pre-disclosed and independently verifiable, and must charge compensation that is product, execution route, execution venue, and counterparty agnostic. Each constraint targets a different element of the control layer: discretionary judgment over market information, parameter selection, and economic incentive. The interface itself must not be the source of any judgment that shapes the user’s transaction.

The OCC’s proposed rule contains no equivalent interface-layer framework for stablecoins. It regulates permitted payment stablecoin issuers directly, which is the right regulatory target, but it does not reach the interfaces through which holders acquire, transfer, or redeem PPSI-issued stablecoins. A holder today can transact in a PPSI-issued stablecoin through an interface that exercises substantial discretion over routing, default parameters, execution venue, and fee structure, without any federal oversight of the interface’s conduct. When the same interface also facilitates transactions in tokenized equity or debt securities, the asymmetry becomes concrete: the SEC statement imposes twelve conditions on the interface’s conduct with respect to those securities, while its conduct with respect to the stablecoin remains entirely unconstrained.

This is not a conflict between regimes. It is a gap. The gap has two consequences the OCC should consider.

The protection gradient is inverted relative to usage. A user transacting in tokenized equity through a compliant Covered User Interface Provider is protected by nine mandatory disclosures, twelve conduct conditions, and a pre-disclosed objective parameter regime. The same user transacting in a PPSI-issued stablecoin through the same interface receives only the protections the issuer itself provides, which my original comment letter identified as structurally inadequate across multiple diagnostic categories (including insolvency posture and redemption enforceability). The more frequent activity, involving larger aggregate value and a larger holder population, is the less-protected activity.

The supervisory gradient runs in the wrong direction. Crypto asset securities are a narrow segment of the tokenized asset market. Payment stablecoins are the dominant segment by transaction volume, holder count, and market capitalization. Federal supervisory attention to the interface layer should scale with segment size. It scales inversely: the smaller segment has twelve-condition federal staff guidance, the larger segment has none.

Both gaps, the collateral interoperability gap identified in my original comment letter and the interface layer gap identified here, are symptoms of the same underlying mismatch: federal financial regulation is organized by instrument class, but tokenized finance combines instrument classes at the infrastructure layer. The recommendation below addresses the interface layer symptom through a mechanism that does not require rewriting the underlying architecture.

III. Recommendation

The OCC should require permitted payment stablecoin issuers to exercise reasonable diligence over the interfaces through which their stablecoins are distributed. The diligence standard should include specific attention to whether those interfaces satisfy conduct conditions comparable to the SEC's twelve conditions, calibrated to the payment stablecoin context. This approach is consistent with the OCC's existing third-party risk management guidance and does not require new regulatory authority or interagency coordination.

Calibrated to stablecoins, those conduct standards would include:

- Allowing users to customize default parameters relevant to stablecoin transactions (transfer amounts, fee preferences, routing preferences);
- Using only pre-disclosed and objective parameters for routing and fee calculation;
- Selecting default counterparties and execution routes based on objective factors;
- Disclosing affiliations with stablecoin issuers, custodians, or other infrastructure providers;
- Disclosing fee calculation and structure;
- Disclosing material conflicts of interest;
- Disclosing policies to protect user trading information; and

- Disclosing the interface's integration with issuers, along with the policies for evaluating, onboarding, and auditing those issuers.

A specific disclosure requirement: the underlying claim on the reserves

One conduct standard warrants particular attention because it addresses the single largest holder-protection gap identified in the nine-product analysis attached to my original comment letter. The interface should be required to make available, at the point of transaction, three categories of information about the holder's relationship to the reserves backing the stablecoin: the nature of the legal claim, the composition of the reserves, and the location and custody of the reserves.

PPSIs should be required to publish this information in a standardized format, and interfaces should be required to display it to holders at any point at which the holder is acquiring, transferring, or redeeming the stablecoin. The substantive disclosure obligation belongs on the PPSI because the PPSI is the regulated party and the source of the underlying information. The access obligation belongs on the interface because the interface is where the holder makes the decision and where the disclosure becomes operationally relevant.

Legal claim. The disclosure should state, in plain language, the nature of the legal claim the holder has on the reserves. Is the claim a statutory entitlement (as in 1940 Act fund segregation), a contractual right under the issuer's terms of service, a trust beneficiary interest, a bankruptcy priority claim, or some combination? The supporting manuscript documents that holder-protection outcomes diverge sharply across these categories, and that holders today often cannot determine which category applies to their stablecoin without reading and interpreting issuer terms of service that are sometimes ambiguous or self-contradictory. Tether's terms of service simultaneously characterize redemption as a "revocable, limited licence" and a "contractual right personal to the customer," with disclaimers across seventeen enumerated categories of liability. Circle's terms restrict direct redemption rights to 1,834 verified accounts. The user holding USDC or USDT through an interface cannot know any of this without reconstructing it from documents published outside the transaction flow.

Reserve composition. The disclosure should state what the reserves consist of, with sufficient granularity to distinguish federally insured deposits from short-term Treasury securities from money market fund shares from repurchase agreements from other instruments. The proposed rule already requires PPSIs to maintain reserves of cash, demand deposits, and short-term U.S. Treasury obligations held at federally insured institutions, which is the most important provision in the rule. This disclosure requirement extends that substantive protection to the interface layer by making the composition visible to the holder at the moment of transaction. A holder who can see that the reserves backing a stablecoin are 100% federally insured deposits is making a different decision than a holder who can see that the reserves are 60% short-term Treasuries held at a single foreign custodian.

Reserve location and custody. The disclosure should identify the custodial institutions holding the reserves, the jurisdictions in which they are held, and any counterparty exposures that affect the holder's ability to recover the reserves under stress. This is the disclosure that would have surfaced Circle's \$3.3 billion exposure to Silicon Valley

Bank in advance of the March 2023 depeg. Circle's exposure was discoverable from public attestation reports, but the reports were published on a monthly cadence and required interpretation that most holders could not perform. Holders who learned about the SVB exposure learned about it during the depeg, not before it. An interface-layer disclosure that named the custodial institutions in real time would convert a hindsight observation into a forward-looking risk signal.

The three disclosures together address the divergence between what holders believe they own and what they actually own. The supporting manuscript identifies this divergence as the single most consequential holder-protection failure across the nine-product sample, affecting Category 1 (rights parity), Category 5 (insolvency posture), and Category 6 (settlement finality). The interface layer is where the divergence becomes operationally consequential because the interface is where the holder makes the decision to acquire, hold, or transfer. A holder who can see, at the moment of transaction, the legal nature of their claim, the composition of the reserves, and the location of those reserves is substantially better positioned to evaluate the risk than a holder who must reconstruct that information from terms of service, attestation reports, and SEC filings published outside the transaction flow.

This recommendation does not require the OCC to develop new substantive disclosure standards from scratch. The information categories already exist. PPSIs already maintain reserves under the proposed rule's requirements, already have terms of service that establish holder rights, and already engage custodians for the reserves. The OCC's role is to require that this information be published in a standardized format and made accessible to holders at the point of transaction. The interface's role, supervised through the PPSI's third-party risk management diligence, is to display it.

Three advantages of the broader recommendation

This approach has three advantages. First, it places the supervisory burden on the PPSI, which is within the OCC's jurisdiction and does not require coordination with any other agency. Second, it uses a mechanism (third-party risk management diligence) the OCC is already experienced in administering. Third, it parallels the SEC's framework closely enough that a single interface serving both instrument classes can satisfy both regimes through a single compliance program. This last point matters: market participants operating at the boundary between the two regimes face real compliance costs from regulatory fragmentation, and aligning the two frameworks reduces those costs without weakening either.

An alternative is a joint interpretation with the SEC Division of Trading and Markets clarifying how the two regimes interact when the same interface facilitates transactions in both crypto asset securities and payment stablecoins. This addresses the asymmetry more directly but requires interagency coordination that may extend beyond the current rulemaking timeline. The two approaches are not mutually exclusive: the PPSI third-party supervision mechanism can be implemented in the final rule now, and a joint interpretation can follow when interagency bandwidth permits.

A further consideration: the SEC staff statement is explicit that it is interim guidance with a five-year sunset. Whatever framework the OCC adopts for the interface layer in stablecoin markets will be in place when the SEC statement is reconsidered or replaced.

Adopting a durable approach now, calibrated to align with the SEC's interim conditions, positions the OCC's supervisory framework to remain coherent across the SEC's eventual transition to a more permanent regime.

IV. Consistency with My Original Comment Letter

My original letter argued that the collateral eligibility boundary is the most consequential gap the proposed rule leaves unaddressed. That finding is unchanged. The SEC statement surfaces a second gap, at the interface layer, where the same underlying architecture produces the same type of problem: federal financial regulation is organized by instrument class, but tokenized finance combines instrument classes at the infrastructure layer, and the boundaries where they combine are currently unregulated. The collateral interoperability gap operates where tokenized instruments are pooled as collateral. The interface gap operates where holders interact with tokenized instruments at all.

The three recommendations in my original letter (holder-rights disclosure, interagency coordination on collateral eligibility, and a standardized equivalence assessment) remain the core recommendations. This supplemental comment adds a fourth: incorporation of interface-layer conduct expectations into the supervisory framework for permitted payment stablecoin issuers, drawing on the SEC's Covered User Interface Provider conditions as a model calibrated to an adjacent but analogous regulatory problem.

The control-layer framing applied in this supplemental comment is developed at greater length in my January 2026 article cited in note 1, published prior to either the OCC proposed rule or the SEC staff statement. That article identifies the control layer as the operative locus of regulation in tokenized markets and is the analytical foundation for both the original comment letter and this supplement.

I appreciate the Office's consideration of these supplemental comments. My original letter and the supporting manuscript (Minimum Viable Equivalence Packs, SSRN 6363138) remain attached to the docket.

Respectfully submitted,

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1. Zukowski, Z. (2026). "Clarity's Real Target: The Control Layer." medium.com/@CryptoZach/claritys-real-target-the-control-layer. See also Zukowski, Z. (2026). "Routing the Dollar: Gateway Infrastructure and the Control Layer in Tokenized Financial Markets." Working paper, Tokenization Systems. Available at SSRN: ssrn.com/abstract=5249057.